

Public Economics and Policy Lecture #1

AUGUST 4, 2026

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Learning objective

- Explain the role and structure of public sector

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Outline

- Introduction: Role and structure of public sector
 - Government functions
 - Market failure, externalities, and public goods
 - Taxation
 - Government expenditure

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Reference

- Ihori, T. (2017). *Principles of public finance*. Springer Singapore. (Chapter 1)
- Stiglitz, J. E., & Rosengard, J. K. (2015). *Economics of the public sector: Fourth international student edition*. WW Norton & Company.

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Share some thoughts about ...

- ☐ Why do we need a government?
- ☐ What is public policy?

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Share some thoughts about ...

- ☐ Why do we need a government?
- ☐ What is public policy?
- ☐ What would it be like if:
 - ☐ There were no public schools in your country?
 - ☐ There were no public highways in your country?
 - ☐ There were no allowances or commodity subsidies for poor people in your country?
 - ☐ There were no old-age allowances or allowances for people with disabilities in your country?
- ☐ Would the private sector or business sector take on these roles?

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Share some thoughts about ...

- ☐ Public policy is ...
 - ☐ a set of actions that a government takes to address societal issues
 - ☐ It tackles problems affecting a broader population rather than focusing on individual needs.
- ☐ The process of developing public policy involves various players, including politicians, civil servants, lobbyists, and industry representatives, who strategize and work together to push proposed policies through.

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Share some thoughts about ...

- ☐ Why do we need a government?
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 - ☐ There were no allowances or commodity subsidies for poor people in your country?
 - ☐ There were no old-age allowances or allowances for people with disabilities in your country?
- ☐ **Would the private sector or business sector take on these roles?"**

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What is the role of a government?

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Government Functions

1. Resource Allocation

- ❑ *Resource includes land and natural resources, labor, physical capital and entrepreneur.*
- ❑ *“Perfect competitive market” and “Private agents maximize their own interests” would lead to an “Efficiency in resource allocation”*
 - ❑ Perfect market (many buyers and many sellers, no barriers to entry, perfect information, price mechanism or price determined by market demand and market supply)
 - ❑ Private agents maximize their own interests (Sellers maximize their profit and consumers maximize their utility)
 - ❑ Then, the private sector works more effectively than the government.

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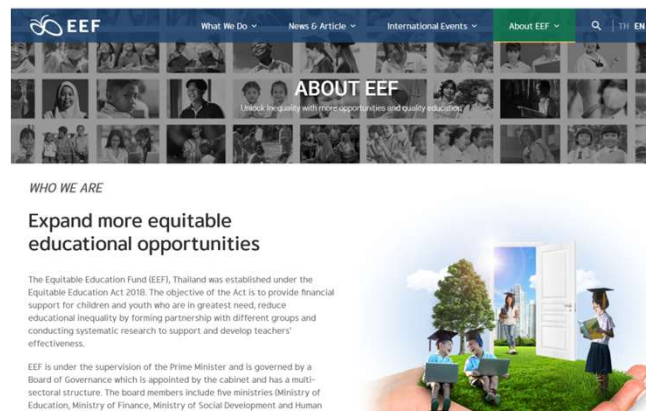
Government Functions

1. Resource Allocation

- In some circumstances, a market failure exists.
 - Schools in rural area vs Private schools (including international schools)

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□ <https://en.eef.or.th/about-eef/>



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Government Functions

1. Resource Allocation

□ **Externality**: consequence of an economic activity that affects other parties without this being reflected in the cost of the goods or services involved

- Positive externality: public safety, education (public schools in the rural area ...)
- Negative externality: pollutions (such as air pollutions)

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Government Functions

1. Resource Allocation

□ Public goods

- **Non-excludability**: It is *impossible to exclude* an agent from consuming goods. (such as public roads/highway, public safety)
- **Non-rivalness**: the consumption of one agent does not reduce the consumption opportunity of another agent. (e.g. public safety)
- These public goods are not well provided in the private sector. Because the benefit of public goods has positive externalities.
- If agents voluntarily provide these goods, others can consume the benefit without paying for the burden. → *Free rider problem*

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Government Functions

2. Income Redistribution

□ Wealth/Income inequality

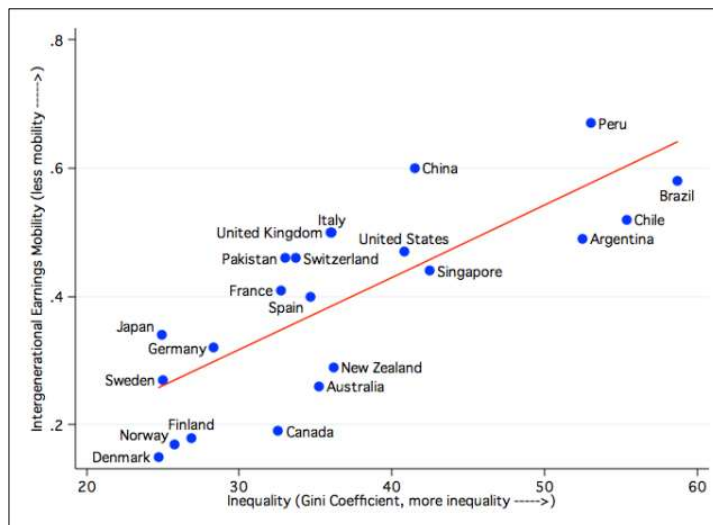
- Top 20% or Quintile 5 of the richest holds 91% of wealth in Thailand
- Top 1% of the richest holds 67% of wealth in Thailand
- Do we need a government intervention to reduce a wealth inequality?
- Do we need a government intervention to attain a better income redistribution?

□ Without any intervention measures by the government, empirical evidences have shown that the income inequality in the parent's generation can be passed on to the younger's generation.

□ The Great Gatsby Curve

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The Great Gatsby Curve



Source: Corak, M. 2013a. "Income Inequality, Equality of Opportunity, and Intergenerational Mobility." *Journal of Economic Perspectives* 27: 79-102.

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Government Functions

2. Income Redistribution

- ❑ Taxes targeting at inequality reduction: Inheritance tax, progressive income tax, Land and building tax
- ❑ Public expenditure
 - ❑ Universal Health Coverage (UHC) scheme
 - ❑ A free basic education of fifteen years
 - ❑ Old age allowance
 - ❑ Disability Allowance
 - ❑ Welfare card scheme
- ❑ With the implementation of all these measures, the government has to take in to account ***“Fiscal burden of policy implementation vs. Fiscal sustainability”***.

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Government Functions

3. Stabilization of Economy

- ❑ According to Keynesian economics, the government should stimulate aggregate demand by raising government spending and reducing taxes when the macroeconomy experiences underemployment and lacks aggregate demand.
- ❑ Fiscal stimulus during the economic recessions
 - ❑ Direct Payments (“Stimulus Checks”): The government provided direct cash payments to eligible individuals and families. These payments aimed to boost consumer spending and alleviate financial strain during the recession.
- ❑ Fiscal sustainability
 - ❑ In a political economy, it is easy to conduct expansionary fiscal policy in a recession but it is difficult to conduct restrictive fiscal policy in a boom. Thus, the government deficit tends to increase and public debt accumulates over time

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Public Finance

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Public Finance

1. Revenue

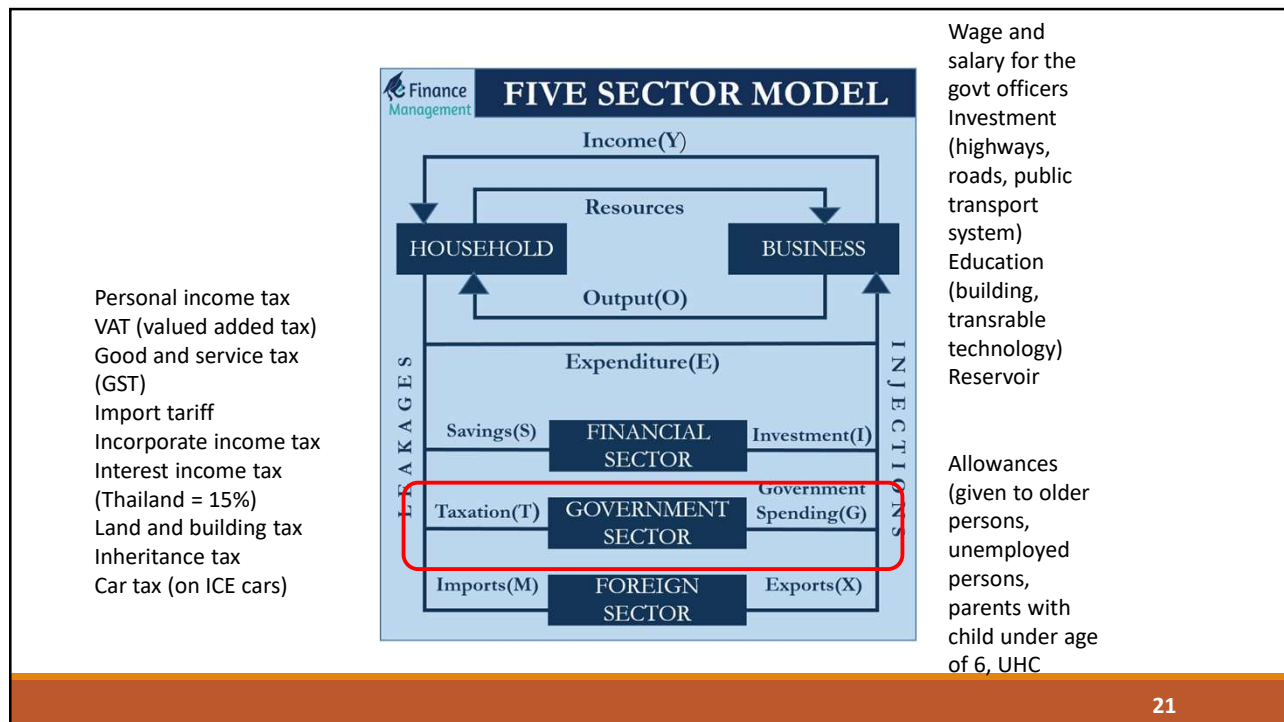
- ☐ Taxes
- ☐ Other (public enterprises, fines and stamps, fees)

2. Expenditure

- ☐ Consumption
- ☐ Investment
- ☐ Public transfers

3. Public debt

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Government spending as a share of GDP in 2023

<https://ourworldindata.org/grapher/historical-gov-spending-gdp?tab=discrete-bar&time=latest&country=JPN~USA~GBR~CHN~FIN~THA~KOR~MYS~PHL~KHM~SWE>

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Government spending as share of GDP, 2023

Total government spending, shown as a share of gross domestic product (GDP). It includes interest paid on government debt.

Our World
in Data

ADD/REMOVE COUNTRIES AND REGIONS

Q Search for a country or region

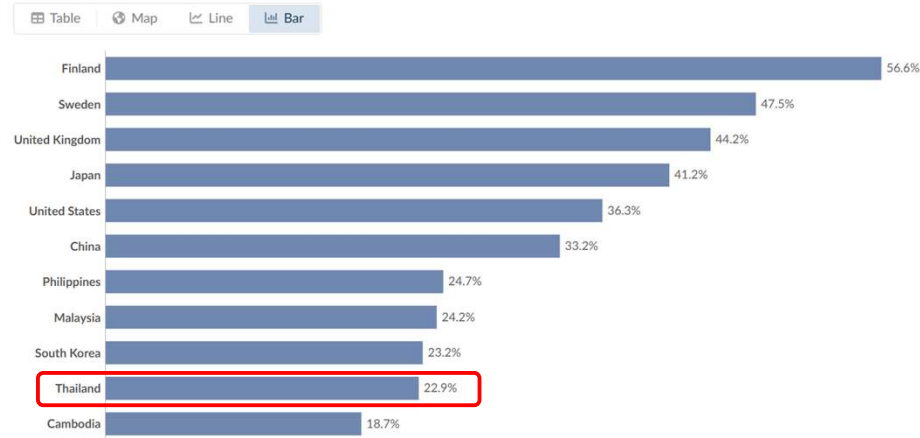
Sort by: Government expendi... ⌵

Selection (11)

Clear

☒	Finland	56.6%
☒	Sweden	47.5%
☒	United Kingdom	44.2%
☒	Japan	41.2%
☒	United States	36.3%
☒	China	33.2%
☒	Philippines	24.7%
☒	Malaysia	24.2%
☒	South Korea	23.2%
☒	Thailand	22.9%
☒	Cambodia	18.7%

All countries and regions



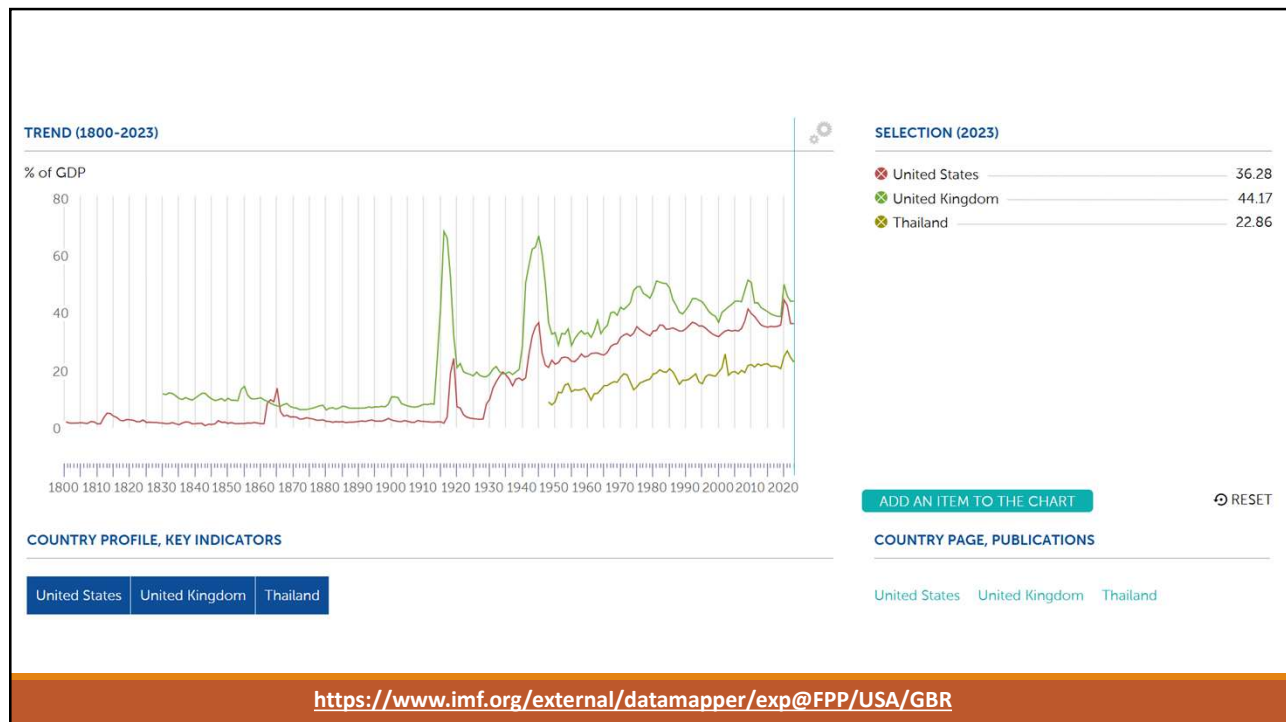
Play time-lapse 1800

2023

<https://ourworldindata.org/grapher/historical-gov-spending-gdp?tab=discrete-bar&time=latest&country=JPN~USA~GBR~CHN~FIN~THA~KOR~MYS~PHL~KHM~SWE>

Government spending as a share of GDP during 1800 - 2023

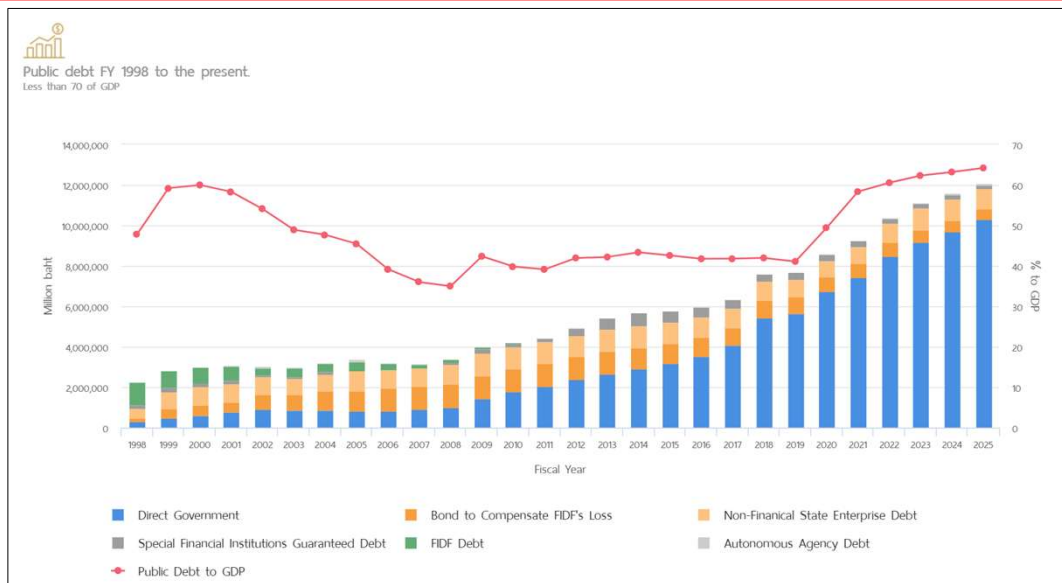
<https://www.imf.org/external/datamapper/exp@FPP/USA/GBR>



Public debt to GDP in Thailand

Source: Public Debt Management Office. (<https://www.pdmo.go.th/en>)

Outstanding public debt vs. Public debt to GDP in Thailand



Source: Public Debt Management Office. (<https://www.pdmo.go.th/en>)

